

SOTOMAYOR, J., dissenting

B

As another dissenting opinion observes, see *ante*, at 517 (opinion of GINSBURG, J.), the Court sidesteps these obstacles by asking a question that this case does not raise and that the Montana Supreme Court did not answer: whether by excluding “religious schools and affected families from [a scholarship] program,” Montana’s no-aid provision was “consistent with the Federal Constitution,” *ante*, at 474 (majority opinion). In so doing, the Court appears to transform petitioners’ as-applied challenge into a facial one. *Ante*, at 477; see also *ante*, at 489 (THOMAS, J., concurring).

This approach lacks support in our case law. The Court typically declines to read state-court decisions as impliedly resolving federal questions, especially ones not raised by the parties. See, e.g., *Adams v. Robertson*, 520 U. S. 83, 88–89 (1997) (*per curiam*). Indeed, to honor principles of comity, this Court generally dismisses writs of certiorari from a State’s highest court where, as is true here of the Court’s

otherwise is untethered to [discriminatory] bias—and perhaps also where a legislature actually confronts a law’s tawdry past in reenacting it—the new law may well be free of discriminatory taint.” *Ramos*, 590 U. S., at 115 (SOTOMAYOR, J., concurring in part). That could not “be said of the laws at issue” in *Ramos*. *Ibid.* It can be here. See Part II, *infra*.

The concurrence overlooks the starkly different histories of these state laws. Also missing from the concurrence (and the *amicus* briefs it repeats) is the stubborn fact that the constitutional provision at issue here was adopted in 1972 at a convention where it was met with overwhelming support by religious leaders (Catholic and non-Catholic), even those who examined the history of prior no-aid provisions. See Brief for Respondents 16–27; 6 Montana Constitutional Convention 1971–1972 Proceedings and Transcript, pp. 2012–2013, 2016–2017 (Mont. Legislature and Legislative Council); see also *ante*, at 531 (BREYER, J., dissenting); Brief for Public Funds Public Schools as *Amicus Curiae* 5–11; Brief for Montana Constitutional Convention Delegates as *Amici Curiae* 19–25. These supporters argued that it would be wrong to put taxpayer dollars to religious purposes and that it would invite unwelcome entanglement between church and state. See, e.g., U. S. Const., Amdt. 1; Brief for Respondents 20.

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bespoke inquiry, “the sole federal question” the Court seeks to decide was not “raised, preserved, or passed upon in the state courts below.” *Cardinale v. Louisiana*, 394 U. S. 437, 438 (1969); see also *Webb v. Webb*, 451 U. S. 493, 499 (1981).

That rule respects not only federalism but also the separation of powers. Article III confines this Court’s authority to adjudicating actual “[c]ases” or “[c]ontroversies.” See also *Allen v. Wright*, 468 U. S. 737, 750 (1984) (case-or-controversy requirement reflects “the idea of separation of powers on which the Federal Government is founded”). Federal courts thus lack power “to decide questions that cannot affect the rights of litigants in the case before them” and may resolve only “real and substantial controvers[ies] admitting of specific relief through a decree of a conclusive character, as distinguished from an opinion advising what the law would be upon a hypothetical state of facts.” *Lewis v. Continental Bank Corp.*, 494 U. S. 472, 477 (1990) (alteration in original; internal quotation marks omitted). Consonant with that limitation, the Court has declined to ““formulate a rule of constitutional law broader than is required by the precise facts to which it is to be applied.”” *Washington State Grange v. Washington State Republican Party*, 552 U. S. 442, 450 (2008) (quoting *Ashwander v. TVA*, 297 U. S. 288, 347 (1936) (Brandeis, J., concurring)). By answering an apparent hypothetical question, today’s Court subverts these longstanding practices.

True, on occasion this Court has resolved federal constitutional questions when it was unclear whether the state-court judgment rested on an adequate and independent state-law ground. See, e. g., *Michigan v. Long*, 463 U. S. 1032, 1043 (1983). But that is not this case. Recall that the Montana Supreme Court remedied a state constitutional violation by invalidating a state program on state-law grounds, having expressly declined to reach any federal issue. See 393 Mont., at 467–468, 435 P. 3d, at 614; see also *ante*, at 518–519 (GINSBURG, J., dissenting).

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These principles exist to prevent this Court from issuing advisory opinions, sowing confusion, and muddying the law. This is case in point. Having held that petitioners may not be “exclu[ded] from the scholarship program” that no longer exists, the Court remands to the Montana Supreme Court for “further proceedings not inconsistent with this opinion.” *Ante*, at 489. But it is hard to tell what this Court wishes the state court to do. There is no program from which petitioners are currently “exclu[ded],” so must the Montana Supreme Court order the State to recreate one? Has this Court just announced its authority to require a state court to order a state legislature to fund religious exercise, overruling centuries of contrary precedent and historical practice? See *Cutter v. Wilkinson*, 544 U. S. 709 (2005); *Locke v. Davey*, 540 U. S. 712 (2004); see also *Trinity Lutheran*, 582 U. S., at 482–489, and nn. 7–11 (SOTOMAYOR, J., dissenting) (describing States’ religious disestablishment movements near the founding and cataloging state constitutional provisions declining to aid religious ministry). Indeed, it appears that the Court has declared that once Montana created a tax subsidy, it forfeited the right to eliminate it if doing so would harm religion. This is a remarkable result, all the more so because the Court strains to reach it.

The Court views its decision as “simply restor[ing] the status quo established by the Montana Legislature.” *Ante* at 488, n. 4. But it overlooks how that status quo allowed the State Supreme Court to cure any disparate treatment of religion while still giving effect to a state constitutional provision ratified by the citizens of Montana. Today’s decision replaces a remedy chosen by representatives of Montanans and designed to honor the will of the electorate with one that the Court prefers instead.

In sum, the decision below neither upheld a program that “disqualif[ies] some private schools solely because they are religious,” *ante*, at 487, nor otherwise decided the case on fed-

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eral grounds. The Court’s opinion thus turns on a counterfactual hypothetical it is powerless (and unwise) to decide.

II

Even on its own terms, the Court’s answer to its hypothetical question is incorrect. The Court relies principally on *Trinity Lutheran*, which found that disqualifying an entity from a public benefit “solely because of [the entity’s] religious character” could impose “a penalty on the free exercise of religion.” 582 U. S., at 462. *Trinity Lutheran* held that ineligibility for a government benefit impermissibly burdened a church’s religious exercise by “put[ting it] to the choice between being a church and receiving a government benefit.” *Id.*, at 465. Invoking that precedent, the Court concludes that Montana must subsidize religious education if it also subsidizes nonreligious education.³

The Court’s analysis of Montana’s defunct tax program reprises the error in *Trinity Lutheran*. Contra the Court’s current approach, our free exercise precedents had long granted the government “some room to recognize the unique status of religious entities and to single them out on that basis for exclusion from otherwise generally applicable laws.” *Id.*, at 479 (SOTOMAYOR, J., dissenting).

Until *Trinity Lutheran*, the right to exercise one’s religion did not include a right to have the State pay for that religious practice. See *School Dist. of Abington Township v. Schempp*, 374 U. S. 203, 226 (1963). That is because a contrary rule risks reading the Establishment Clause out of the Constitution. Although the Establishment Clause “permit[s] some government funding of secular functions per-

³ Petitioners’ as-applied challenge fails under *Trinity Lutheran* for the reasons stated above: The Montana Supreme Court’s remedy does not put petitioners to any “choice” at all. Rather, petitioners are free to send their children to any secondary school they wish while practicing their religious beliefs, and no one receives a tax credit for their school choice.

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formed by sectarian organizations,” the Court’s decisions “provide[d] no precedent for the use of public funds to finance religious activities.” *Rosenberger v. Rector and Visitors of Univ. of Va.*, 515 U. S. 819, 847 (1995) (O’Connor, J., concurring). After all, the government must avoid “an unlawful fostering of religion.” *Cutter*, 544 U. S., at 714 (internal quotation marks omitted). Thus, to determine the constitutionality of government action that draws lines based on religion, our precedents “carefully considered whether the interests embodied in the Religion Clauses justify that line.” *Trinity Lutheran*, 582 U. S., at 478 (SOTOMAYOR, J., dissenting). The relevant question had always been not whether a State singles out religious entities but why it did so.

Here, a State may refuse to extend certain aid programs to religious entities when doing so avoids “historic and substantial” antiestablishment concerns. *Locke*, 540 U. S., at 725. Properly understood, this case is no different from *Locke* because petitioners seek to procure what the plaintiffs in *Locke* could not: taxpayer funds to support religious schooling.⁴ Indeed, one of the concurrences lauds petitioners’ spiritual pursuit, acknowledging that they seek state funds for manifestly religious purposes like “teach[ing] religion” so that petitioners may “outwardly and publicly” live out their religious tenets. *Ante*, at 510 (opinion of GORSUCH, J.). But those deeply religious goals confirm why Montana may properly decline to subsidize religious education. Involvement in such spiritual matters implicates both the Establishment Clause, see *Cutter*, 544 U. S., at 714, and the free exercise rights of taxpayers, “denying them the chance

⁴ *Locke* confirms that a facial challenge to no-aid provisions must fail. But cf. *ante*, at 479–480 (majority opinion). In *Locke*, this Court upheld the application of a materially similar no-aid provision in Washington State, concluding that the Free Exercise Clause permitted Washington to forbid state-scholarship funds for students pursuing devotional theology degrees. 540 U. S., at 721.

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to decide for themselves whether and how to fund religion,” *Trinity Lutheran*, 582 U. S., at 487 (SOTOMAYOR, J., dissenting). Previously, this Court recognized that a “prophylactic rule against the use of public funds” for “religious activities” appropriately balanced the Religion Clauses’ differing but equally weighty interests. *Ibid.*

The Court maintains that this case differs from *Locke* because no pertinent “‘historic and substantial’” tradition supports Montana’s decision. *Ante*, at 480. But the Court’s historical analysis is incomplete at best. For one thing, the Court discounts anything beyond the 1850s as failing to “establish an early American tradition,” *ante*, at 482, while itself relying on examples from around that time, *ante*, at 480–481. For another, although the States may have had “rich diversity of experience” at the founding, “the story relevant here is one of consistency.” *Trinity Lutheran*, 582 U. S., at 481 (SOTOMAYOR, J., dissenting); see also *id.*, at 482–489 (chronicling state histories). The common thread was that “those who lived under the laws and practices that formed religious establishments made a considered decision that civil government should not fund ministers and their houses of worship.” *Id.*, at 486. And as the Court’s recent precedent holds, at least some teachers in religiously affiliated schools are ministers who inculcate the faith. See *Hosanna-Tabor Evangelical Lutheran Church and School v. EEOC*, 565 U. S. 171, 178, 196 (2012); see also *ante*, at 510 (GORSUCH, J., concurring); *ante*, at 525, 532 (BREYER, J., dissenting).

The Court further suggests that by abstaining from funding religious activity, the State is “‘suppress[ing]’” and “‘penaliz[ing]’” religious activity. *Ante*, at 485–486. But a State’s decision not to fund religious activity does not “disfavor religion; rather, it represents a valid choice to remain secular in the face of serious establishment and free exercise concerns.” *Trinity Lutheran*, 582 U. S., at 493 (SOTOMAYOR, J., dissenting). That is, a “legislature’s decision not

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to subsidize the exercise of a fundamental right does not infringe the right.” *Regan v. Taxation With Representation of Wash.*, 461 U. S. 540, 549 (1983).

Finally, it is no answer to say that this case involves “discrimination.” *Ante*, at 477–478. A “decision to treat entities differently based on distinctions that the Religion Clauses make relevant does not amount to discrimination.” *Trinity Lutheran*, 582 U. S., at 492 (SOTOMAYOR, J., dissenting). So too here.

* * *

Today’s ruling is perverse. Without any need or power to do so, the Court appears to require a State to reinstate a tax-credit program that the Constitution did not demand in the first place. We once recognized that “[w]hile the Free Exercise Clause clearly prohibits the use of state action to deny the rights of free exercise to anyone, it has never meant that a majority could use the machinery of the State to practice its beliefs.” *Schempp*, 374 U. S., at 226 (emphasis deleted). Today’s Court, by contrast, rejects the Religion Clauses’ balanced values in favor of a new theory of free exercise, and it does so only by setting aside well-established judicial constraints.

I respectfully dissent.

Syllabus

UNITED STATES PATENT AND TRADEMARK
OFFICE ET AL. *v.* BOOKING.COM B. V.CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR
THE FOURTH CIRCUIT

No. 19–46. Argued May 4, 2020—Decided June 30, 2020

A generic name—the name of a class of products or services—is ineligible for federal trademark registration. Respondent Booking.com, an enterprise that maintains a travel-reservation website by the same name, sought federal registration of marks including the term “Booking.com.” Concluding that “Booking.com” is a generic name for online hotel-reservation services, the U. S. Patent and Trademark Office (PTO) refused registration. Booking.com sought judicial review, and the District Court determined that “Booking.com”—unlike the term “booking” standing alone—is not generic. The Court of Appeals affirmed, finding no error in the District Court’s assessment of how consumers perceive the term “Booking.com.” The appellate court also rejected the PTO’s contention that, as a rule, combining a generic term like “booking” with “.com” yields a generic composite.

Held: A term styled “generic.com” is a generic name for a class of goods or services only if the term has that meaning to consumers. Pp. 556–564.

(a) Whether a compound term is generic turns on whether that term, taken as a whole, signifies to consumers a class of goods or services. The courts below determined, and the PTO no longer disputes, that consumers do not in fact perceive the term “Booking.com” that way. Because “Booking.com” is not a generic name to consumers, it is not generic. Pp. 556–557.

(b) Opposing that determination, the PTO urges a nearly *per se* rule: When a generic term is combined with a generic Internet-domain-name suffix like “.com,” the resulting combination is generic. The rule the PTO proffers is not borne out by the PTO’s own past practice and lacks support in trademark law or policy. Pp. 557–564.

(1) The PTO’s proposed rule does not follow from *Goodyear’s India Rubber Glove Mfg. Co. v. Goodyear Rubber Co.*, 128 U. S. 598. *Goodyear*, the PTO maintains, established that adding a generic corporate designation like “Company” to a generic term does not confer trademark eligibility. According to the PTO, adding “.com” to a generic term—like adding “Company”—can convey no source-identifying meaning. That premise is faulty, for only one entity can occupy a particular Internet domain name at a time, so a “generic.com” term could convey to consum-

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ers an association with a particular website. Moreover, an unyielding legal rule that entirely disregards consumer perception is incompatible with a bedrock principle of the Lanham Act: The generic (or nongeneric) character of a particular term depends on its meaning to consumers, *i. e.*, do consumers in fact perceive the term as the name of a class or, instead, as a term capable of distinguishing among members of the class. Pp. 558–561.

(2) The PTO’s policy concerns do not support a categorical rule against registration of “generic.com” terms. The PTO asserts that trademark protection for “Booking.com” would give the mark owner undue control over similar language that others should remain free to use. That concern attends any descriptive mark. Guarding against the anticompetitive effects the PTO identifies, several doctrines ensure that registration of “Booking.com” would not yield its holder a monopoly on the term “booking.” The PTO also doubts that owners of “generic.com” brands need trademark protection in addition to existing competitive advantages. Such advantages, however, do not inevitably disqualify a mark from federal registration. Finally, the PTO urges that Booking.com could seek remedies outside trademark law, but there is no basis to deny Booking.com the same benefits Congress accorded other marks qualifying as nongeneric. Pp. 561–564.

915 F. 3d 171, affirmed.

GINSBURG, J., delivered the opinion of the Court, in which ROBERTS, C. J., and THOMAS, ALITO, SOTOMAYOR, KAGAN, GORSUCH, and KAVANAUGH, JJ., joined. SOTOMAYOR, J., filed a concurring opinion, *post*, p. 564. BREYER, J., filed a dissenting opinion, *post*, p. 565.

Erica L. Ross argued the cause for petitioners. With her on the briefs were *Solicitor General Francisco, Assistant Attorney General Hunt, Deputy Solicitor General Stewart, Mark R. Freeman, Daniel Tenny, Sarah T. Harris, Thomas W. Krause, Christina J. Hieber, and Molly R. Silfen.*

Lisa S. Blatt argued the cause for respondent. With her on the brief were *Sarah M. Harris, Eden Schiffmann, David H. Bernstein, Jared I. Kagan, and Jonathan E. Moskin.**

**Alexandra H. Moss and Corynne McSherry* filed a brief for the Electronic Frontier Foundation as *amicus curiae* urging reversal.

Briefs of *amici curiae* urging affirmance were filed for the Boston Patent Law Association by *Erik Paul Belt, Lori Jane Shyavitz, and Alexander L. Ried*; for the Coalition of .com Brand Owners by *Thad Chaloem-*

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JUSTICE GINSBURG delivered the opinion of the Court.

This case concerns eligibility for federal trademark registration. Respondent Booking.com, an enterprise that maintains a travel-reservation website by the same name, sought to register the mark “Booking.com.” Concluding that “Booking.com” is a generic name for online hotel-reservation services, the U. S. Patent and Trademark Office (PTO) refused registration.

A generic name—the name of a class of products or services—is ineligible for federal trademark registration. The word “booking,” the parties do not dispute, is generic for hotel-reservation services. “Booking.com” must also be generic, the PTO maintains, under an encompassing rule the PTO currently urges us to adopt: The combination of a generic word and “.com” is generic.

In accord with the first- and second-instance judgments in this case, we reject the PTO’s sweeping rule. A term styled “generic.com” is a generic name for a class of goods or services only if the term has that meaning to consumers. Consumers, according to lower court determinations uncontested here by the PTO, do not perceive the term “Booking.com” to

tiarana, Phillip Barengolts, and Jacquelyn R. Prom; for the Intellectual Property Law Association of Chicago by Margaret M. Duncan; for the Internet Commerce Association by Megan L. Brown; for Salesforce.com, Inc., et al. by Thomas G. Hungar, Howard S. Hogan, and Joshua M. Wesneski; for Survey Scholars et al. by Mark D. Harris; and for Trademark and Internet Law Professors by J. Michael Jakes.

Briefs of *amici curiae* were filed for the American Intellectual Property Law Association by Craig B. Whitney and Barbara A. Fiacco; for the Association of Amicus Counsel by Charles E. Miller, Robert J. Rando, and Alan M. Sack; for the Intellectual Property Owners Association by Eric R. Moran, Nicole E. Grimm, and Kevin H. Rhodes; for the International Trademark Association by Lawrence K. Nodine, A. Justin Ourso III, Martin Schwimmer, and Jennifer L. Gregor; for the New York Intellectual Property Law Association by Michael Carl Cannata, Frank Misiti, Stephen J. Smirti, Jr., Kathleen E. McCarthy, Robert M. Isackson, William Thornashower, and Ronald D. Coleman; for Trademark Scholars by Rebecca Tushnet, *pro se*; and for Peter N. Golder et al. by R. Charles Henn, Jr.

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signify online hotel-reservation services as a class. In circumstances like those this case presents, a “generic.com” term is not generic and can be eligible for federal trademark registration.

I

A

A trademark distinguishes one producer’s goods or services from another’s. Guarding a trademark against use by others, this Court has explained, “secure[s] to the owner of the mark the goodwill” of her business and “protect[s] the ability of consumers to distinguish among competing producers.” *Park ’N Fly, Inc. v. Dollar Park & Fly, Inc.*, 469 U. S. 189, 198 (1985); see S. Rep. No. 1333, 79th Cong., 2d Sess., 3 (1946) (trademark statutes aim to “protect the public so it may be confident that, in purchasing a product bearing a particular trade-mark which it favorably knows, it will get the product which it asks for and wants to get”). Trademark protection has roots in common law and equity. *Matal v. Tam*, 582 U. S. 218, 224 (2017). Today, the Lanham Act, enacted in 1946, provides federal statutory protection for trademarks. 60 Stat. 427, as amended, 15 U. S. C. § 1051 *et seq.* We have recognized that federal trademark protection, supplementing state law, “supports the free flow of commerce” and “foster[s] competition.” *Matal*, 582 U. S., at 225–226 (internal quotation marks omitted).

The Lanham Act not only arms trademark owners with federal claims for relief; importantly, it establishes a system of federal trademark registration. The owner of a mark on the principal register enjoys “valuable benefits,” including a presumption that the mark is valid. *Iancu v. Brunetti*, 588 U. S. 388, 391 (2019); see §§ 1051, 1052. The supplemental register contains other product and service designations, some of which could one day gain eligibility for the principal register. See § 1091. The supplemental register accords more modest benefits; notably, a listing on that register

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announces one's use of the designation to others considering a similar mark. See 3 J. McCarthy, *Trademarks and Unfair Competition* § 19:37 (5th ed. 2019) (hereinafter McCarthy). Even without federal registration, a mark may be eligible for protection against infringement under both the Lanham Act and other sources of law. See *Matal*, 582 U. S., at 225–226.

Prime among the conditions for registration, the mark must be one “by which the goods of the applicant may be distinguished from the goods of others.” § 1052; see § 1091(a) (supplemental register contains “marks capable of distinguishing . . . goods or services”). Distinctiveness is often expressed on an increasing scale: Word marks “may be (1) generic; (2) descriptive; (3) suggestive; (4) arbitrary; or (5) fanciful.” *Two Pesos, Inc. v. Taco Cabana, Inc.*, 505 U. S. 763, 768 (1992).

The more distinctive the mark, the more readily it qualifies for the principal register. The most distinctive marks—those that are “‘arbitrary’ (‘Camel’ cigarettes), ‘fanciful’ (‘Kodak’ film), or ‘suggestive’ (‘Tide’ laundry detergent)” — may be placed on the principal register because they are “inherently distinctive.” *Wal-Mart Stores, Inc. v. Samara Brothers, Inc.*, 529 U. S. 205, 210–211 (2000). “Descriptive” terms, in contrast, are not eligible for the principal register based on their inherent qualities alone. *E. g.*, *Park ’N Fly, Inc. v. Dollar Park & Fly, Inc.*, 718 F. 2d 327, 331 (CA9 1983) (“Park ’N Fly” airport parking is descriptive), *rev’d on other grounds*, 469 U. S. 189 (1985). The Lanham Act, “liberaliz[ing] the common law,” “extended protection to descriptive marks.” *Qualitex Co. v. Jacobson Products Co.*, 514 U. S. 159, 171 (1995). But to be placed on the principal register, descriptive terms must achieve significance “in the minds of the public” as identifying the applicant’s goods or services—a quality called “acquired distinctiveness” or “secondary meaning.” *Wal-Mart Stores*, 529 U. S., at 211 (internal quotation marks omitted); see § 1052(e), (f). Without secondary

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meaning, descriptive terms may be eligible only for the supplemental register. § 1091(a).

At the lowest end of the distinctiveness scale is “the generic name for the goods or services.” §§ 1127, 1064(3), 1065(4). The name of the good itself (*e. g.*, “wine”) is incapable of “distinguish[ing] [one producer’s goods] from the goods of others” and is therefore ineligible for registration. § 1052; see § 1091(a). Indeed, generic terms are ordinarily ineligible for protection as trademarks at all. See Restatement (Third) of Unfair Competition § 15, p. 142 (1993); *Otokoyama Co. v. Wine of Japan Import, Inc.*, 175 F.3d 266, 270 (CA2 1999) (“[E]veryone may use [generic terms] to refer to the goods they designate.”).

B

Booking.com is a digital travel company that provides hotel reservations and other services under the brand “Booking.com,” which is also the domain name of its website.¹ Booking.com filed applications to register four marks in connection with travel-related services, each with different visual features but all containing the term “Booking.com.”²

Both a PTO examining attorney and the PTO’s Trademark Trial and Appeal Board concluded that the term “Booking.com” is generic for the services at issue and is therefore unregistrable. “Booking,” the Board observed, means making travel reservations, and “.com” signifies a

¹ A domain name identifies an address on the Internet. The rightmost component of a domain name—“.com” in “Booking.com”—is known as the top-level domain. Domain names are unique; that is, a given domain name is assigned to only one entity at a time.

² For simplicity, this opinion uses the term “trademark” to encompass the marks whose registration Booking.com seeks. Although Booking.com uses the marks in connection with services, not goods, rendering the marks “service marks” rather than “trademarks” under 15 U. S. C. § 1127, that distinction is immaterial to the issue before us.

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commercial website. The Board then ruled that “customers would understand the term BOOKING.COM primarily to refer to an online reservation service for travel, tours, and lodgings.” App. to Pet. for Cert. 164a, 176a. Alternatively, the Board held that even if “Booking.com” is descriptive, not generic, it is unregistrable because it lacks secondary meaning.

Booking.com sought review in the U. S. District Court for the Eastern District of Virginia, invoking a mode of review that allows Booking.com to introduce evidence not presented to the agency. See §1071(b). Relying in significant part on Booking.com’s new evidence of consumer perception, the District Court concluded that “Booking.com”—unlike “booking”—is not generic. The “consuming public,” the court found, “primarily understands that BOOKING.COM does not refer to a genus, rather it is descriptive of services involving ‘booking’ available at that domain name.” *Booking.com B.V. v. Matal*, 278 F. Supp. 3d 891, 918 (2017). Having determined that “Booking.com” is descriptive, the District Court additionally found that the term has acquired secondary meaning as to hotel-reservation services. For those services, the District Court therefore concluded, Booking.com’s marks meet the distinctiveness requirement for registration.

The PTO appealed only the District Court’s determination that “Booking.com” is not generic. Finding no error in the District Court’s assessment of how consumers perceive the term “Booking.com,” the Court of Appeals for the Fourth Circuit affirmed the court of first instance’s judgment. In so ruling, the appeals court rejected the PTO’s contention that the combination of “.com” with a generic term like “booking” “is *necessarily* generic.” 915 F. 3d 171, 184 (2019). Dissenting in relevant part, Judge Wynn concluded that the District Court mistakenly presumed that “generic .com” terms are usually descriptive, not generic.

We granted certiorari, 589 U. S. 1055 (2019), and now affirm the Fourth Circuit’s decision.

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II

Although the parties here disagree about the circumstances in which terms like “Booking.com” rank as generic, several guiding principles are common ground. First, a “generic” term names a “class” of goods or services, rather than any particular feature or exemplification of the class. Brief for Petitioners 4; Brief for Respondent 6; see §§ 1127, 1064(3), 1065(4) (referring to “the generic name for the goods or services”); *Park ’N Fly*, 469 U. S., at 194 (“A generic term is one that refers to the genus of which the particular product is a species.”). Second, for a compound term, the distinctiveness inquiry trains on the term’s meaning as a whole, not its parts in isolation. Reply Brief 9; Brief for Respondent 2; see *Estate of P. D. Beckwith, Inc. v. Commissioner of Patents*, 252 U. S. 538, 545–546 (1920). Third, the relevant meaning of a term is its meaning to consumers. Brief for Petitioners 43–44; Brief for Respondent 2; see *Bayer Co. v. United Drug Co.*, 272 F. 505, 509 (SDNY 1921) (Hand, J.) (“What do the buyers understand by the word for whose use the parties are contending?”). Eligibility for registration, all agree, turns on the mark’s capacity to “distinguish” goods “in commerce.” § 1052. Evidencing the Lanham Act’s focus on consumer perception, the section governing cancellation of registration provides that “[t]he primary significance of the registered mark to the relevant public . . . shall be the test for determining whether the registered mark has become the generic name of goods or services.” § 1064(3).³

³The U. S. Patent and Trademark Office (PTO) suggests that the primary-significance test might not govern outside the context of § 1064(3), which subjects to cancellation marks previously registered that have “become” generic. See Reply Brief 11; Tr. of Oral Arg. 19. To so confine the primary-significance test, however, would upset the understanding, shared by Courts of Appeals and the PTO’s own manual for trademark examiners, that the same test governs whether a mark is registrable in the first place. See, e. g., *In re Cordua Restaurants, Inc.*, 823 F. 3d 594, 599 (CA Fed. 2016); *Nartron Corp. v. STMicroelectronics, Inc.*, 305 F. 3d 397, 404 (CA6 2002); *Genesee Brewing Co. v. Stroh Brewing Co.*, 124 F. 3d 137, 144 (CA2 1997); Trademark Manual of Examining Procedure

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Under these principles, whether “Booking.com” is generic turns on whether that term, taken as a whole, signifies to consumers the class of online hotel-reservation services. Thus, if “Booking.com” were generic, we might expect consumers to understand Travelocity—another such service—to be a “Booking.com.” We might similarly expect that a consumer, searching for a trusted source of online hotel-reservation services, could ask a frequent traveler to name her favorite “Booking.com” provider.

Consumers do not in fact perceive the term “Booking.com” that way, the courts below determined. The PTO no longer disputes that determination. See Pet. for Cert. I; Brief for Petitioners 17–18 (contending only that a consumer-perception inquiry was unnecessary, not that the lower courts’ consumer-perception determination was wrong). That should resolve this case: Because “Booking.com” is not a generic name to consumers, it is not generic.

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III

Opposing that conclusion, the PTO urges a nearly *per se* rule that would render “Booking.com” ineligible for registration regardless of specific evidence of consumer perception. In the PTO’s view, which the dissent embraces, when a generic term is combined with a generic top-level domain like “.com,” the resulting combination is generic. In other words, every “generic.com” term is generic according to the PTO, absent exceptional circumstances.⁴

§ 1209.01(c)(i), p. 1200–267 (Oct. 2018), <http://tmep.uspto.gov>. We need not address today the scope of the primary-significance test’s application, for our analysis does not depend on whether one meaning among several is “primary.” Sufficient to resolve this case is the undisputed principle that consumer perception demarcates a term’s meaning.

⁴The PTO notes only one possible exception: Sometimes adding a generic term to a generic top-level domain results in wordplay (for example, “tennis.net”). That special case, the PTO acknowledges, is not presented here and does not affect our analysis. See Brief for Petitioners 25, n. 6; Tr. of Oral Arg. 25–26.

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The PTO's own past practice appears to reflect no such comprehensive rule. See, *e. g.*, Trademark Registration No. 3,601,346 ("ART.COM" on principal register for, *inter alia*, "[o]nline retail store services" offering "art prints, original art, [and] art reproductions"); Trademark Registration No. 2,580,467 ("DATING.COM" on supplemental register for "dating services"). Existing registrations inconsistent with the rule the PTO now advances would be at risk of cancellation if the PTO's current view were to prevail. See § 1064(3). We decline to adopt a rule essentially excluding registration of "generic.com" marks. As explained below, we discern no support for the PTO's current view in trademark law or policy.

A

The PTO urges that the exclusionary rule it advocates follows from a common-law principle, applied in *Goodyear's India Rubber Glove Mfg. Co. v. Goodyear Rubber Co.*, 128 U. S. 598 (1888), that a generic corporate designation added to a generic term does not confer trademark eligibility. In *Goodyear*, a decision predating the Lanham Act, this Court held that "Goodyear Rubber Company" was not "capable of exclusive appropriation." *Id.*, at 602. Standing alone, the term "Goodyear Rubber" could not serve as a trademark because it referred, in those days, to "well-known classes of goods produced by the process known as Goodyear's invention." *Ibid.* "[A]ddition of the word 'Company'" supplied no protectable meaning, the Court concluded, because adding "Company" "only indicates that parties have formed an association or partnership to deal in such goods." *Ibid.* Permitting exclusive rights in "Goodyear Rubber Company" (or "Wine Company, Cotton Company, or Grain Company"), the Court explained, would tread on the right of all persons "to deal in such articles, and to publish the fact to the world." *Id.*, at 602–603.

"Generic.com," the PTO maintains, is like "Generic Company" and is therefore ineligible for trademark protection,

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let alone federal registration. According to the PTO, adding “.com” to a generic term—like adding “Company”—“conveys no additional meaning that would distinguish [one provider’s] services from those of other providers.” Brief for Petitioners 44. The dissent endorses that proposition: “Generic .com” conveys that the generic good or service is offered online “and nothing more.” *Post*, at 565.

That premise is faulty. A “generic.com” term might also convey to consumers a source-identifying characteristic: an association with a particular website. As the PTO and the dissent elsewhere acknowledge, only one entity can occupy a particular Internet domain name at a time, so “[a] consumer who is familiar with that aspect of the domain-name system can infer that BOOKING.COM refers to *some* specific entity.” Brief for Petitioners 40. See also Tr. of Oral Arg. 5 (“Because domain names are one of a kind, a significant portion of the public will always understand a generic ‘.com’ term to refer to a specific business”); *post*, at 7 (the “exclusivity” of “generic.com” terms sets them apart from terms like “Wine, Inc.” and “The Wine Company”). Thus, consumers could understand a given “generic.com” term to describe the corresponding website or to identify the website’s proprietor. We therefore resist the PTO’s position that “generic.com” terms are capable of signifying only an entire class of online goods or services and, hence, are categorically incapable of identifying a source.⁵

⁵ In passing, the PTO urges us to disregard that a domain name is assigned to only one entity at a time. That fact, the PTO suggests, stems from “a functional characteristic of the Internet and the domain-name system,” and functional features cannot receive trademark protection. Brief for Petitioners 32. “[A] product feature is functional, and cannot serve as a trademark,” we have held, “if it is essential to the use or purpose of the article or if it affects the cost or quality of the article.” *TrafFix Devices, Inc. v. Marketing Displays, Inc.*, 532 U. S. 23, 32 (2001) (internal quotation marks omitted); see § 1052(e) (barring from the principal registrar “any matter that, as a whole, is functional”). This case, however, does not concern trademark protection for a feature of the Internet or the domain-

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The PTO's reliance on *Goodyear* is flawed in another respect. The PTO understands *Goodyear* to hold that "Generic Company" terms "are ineligible for trademark protection *as a matter of law*"—regardless of how "consumers would understand" the term. Brief for Petitioners 38. But, as noted, whether a term is generic depends on its meaning to consumers. *Supra*, at 556–557. That bedrock principle of the Lanham Act is incompatible with an unyielding legal rule that entirely disregards consumer perception. Instead, *Goodyear* reflects a more modest principle harmonious with Congress' subsequent enactment: A compound of generic elements is generic if the combination yields no additional meaning *to consumers* capable of distinguishing the goods or services.

The PTO also invokes the oft-repeated principle that "no matter how much money and effort the user of a generic term has poured into promoting the sale of its merchandise . . . it cannot deprive competing manufacturers of the product of the right to call an article by its name." *Abercrombie & Fitch Co. v. Hunting World, Inc.*, 537 F. 2d 4, 9 (CA2 1976). That principle presupposes that a generic term is at issue. But the PTO's only legal basis for deeming "generic .com" terms generic is its mistaken reliance on *Goodyear*.

While we reject the rule proffered by the PTO that "generic.com" terms are generic names, we do not embrace a rule automatically classifying such terms as nongeneric. Whether any given "generic.com" term is generic, we hold, depends on whether consumers in fact perceive that term as

name system; Booking.com lays no claim to the use of unique domain names generally. Nor does the PTO contend that the particular domain name "Booking.com" is essential to the use or purpose of online hotel-reservation services, affects these services' cost or quality, or is otherwise necessary for competitors to use. In any event, we have no occasion to decide the applicability of § 1052(e)'s functionality bar, for the sole ground on which the PTO refused registration, and the sole claim before us, is that "Booking.com" is generic.

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the name of a class or, instead, as a term capable of distinguishing among members of the class.⁶

B

The PTO, echoed by the dissent, *post*, at 574–576, objects that protecting “generic.com” terms as trademarks would disserve trademark law’s animating policies. We disagree.

The PTO’s principal concern is that trademark protection for a term like “Booking.com” would hinder competitors. But the PTO does not assert that others seeking to offer online hotel-reservation services need to call their services “Booking.com.” Rather, the PTO fears that trademark protection for “Booking.com” could exclude or inhibit competitors from using the term “booking” or adopting domain names like “ebooking.com” or “hotel-booking.com.” Brief for Petitioners 27–28. The PTO’s objection, therefore, is not to exclusive use of “Booking.com” as a mark, but to undue

⁶Evidence informing that inquiry can include not only consumer surveys, but also dictionaries, usage by consumers and competitors, and any other source of evidence bearing on how consumers perceive a term’s meaning. Surveys can be helpful evidence of consumer perception but require care in their design and interpretation. See Brief for Trademark Scholars as *Amici Curiae* 18–20 (urging that survey respondents may conflate the fact that domain names are exclusive with a conclusion that a given “generic.com” term has achieved secondary meaning). Moreover, difficult questions may be presented when a term has multiple concurrent meanings to consumers or a meaning that has changed over time. See, e.g., 2 J. McCarthy, *Trademarks and Unfair Competition* § 12:51 (5th ed. 2019) (discussing terms that are “a generic name to some, a trademark to others”); *id.*, § 12:49 (“Determining the distinction between generic and trademark usage of a word . . . when there are no other sellers of [the good or service] is one of the most difficult areas of trademark law.”). Such issues are not here entailed, for the PTO does not contest the lower courts’ assessment of consumer perception in this case. See Pet. for Cert. I; Brief for Petitioners 17–18. For the same reason, while the dissent questions the evidence on which the lower courts relied, *post*, at 571–572, 573, we have no occasion to reweigh that evidence. Cf. *post*, at 565 (SOTOMAYOR, J., concurring).